

ANALYSING THE OPERATING INCOME: THREE REFORMULATIONS OF THE OPERATING COST STRUCTURE

Chapter 3



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20221 - FINANCIAL STATEMENTS ANALYSIS (ADVANCED COURSE)

- Possible analysis of operating costs: overall perspective
- Income statement reformulated by function
 - Akzonobel report 2025: example of A real I/S by function
- Income statement reformulated: external vs. Internal costs
 - Added value and EBITDA
 - Two reclassification/interpretation critical issues
 - More on EBITDA: EBITDA vs. Ebitdar
 - Relevance of EBITDAR: Delta Air Lines: File “DAL 4q25-call-script-non-gaaps”
 - From EBITDAR to EBITDAaL: Vodafone group – annual report 2025
- Income statement reformulated: variable and fixed costs
 - Income statement reformulated: operating leverage and margin of safety
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 - Ryan air: volatility of the jet fuel cost from 2009 to 2010
- Summary of income statement based financial ratios:
- Evolution of performance measures: EBITA
 - Leonardo (defence industry) – annual report 2025
- Common-size analysis of cogs: critical issues
 - Common-size analysis of cogs: critical issues
 - How can we help the analysts? Let's show them the drivers!
- APPENDIX: Common-size analysis of cogs: critical issues. A case study



Income Statement reformulated by Function	Income Statement reformulated with the separation of External and Internal Costs	Income Statement reformulated with the separation of variable and fixed costs
+ Net Revenues	+ Value of Production	+ Net Revenues
- Cost of Sales (Cost of Goods Sold)	- Cost for purchases of materials / services from external parties	- Variable Costs (selling and manufacturing variable costs)
= Gross Profit	= Added Value	= Contribution Margin
- Selling Costs	- Cost of Personnel	- Manufacturing Fixed Costs
- General & Administrative Costs	= Earnings before Interest, Taxes, Depreciation and Amortization (EBITDA)	- Selling Fixed Costs
	- Depreciation and Amortization	- General/Administrative Fixed Costs

= Core Operating Income (from sales of products/services)
+/- Ancillary Operating Income
= Operating Income
- Net Financial Expenses
= Income before Unusual Items and Income Taxes
+/- Unusual Items
= Earnings before Taxes
- Income taxes
= Net Income



Income Statement reformulated by Function	
+ Net Revenues	
- Cost of Sales (Cost of Goods Sold)	
= Gross Profit	
- Selling Costs	
- General & Administrative Costs	
- R&D Costs	
= Core Operating Income (from sales of products/services)	

FOR A MANUFACTURING COMPANY:

+ Cost of Direct Material Used
 + Cost of Direct Labor Used
 + Total Factory Overhead Costs
= Total Manufacturing Costs
 + Beginning Inventory (products, W.I.P., Raw Mat.)
 - Ending Inventory (products, W.I.P., Raw Mat.)
= Cost of Sales (Cost of Goods Sold)

FOR A RETAIL COMPANY:

+ Cost of merchandise (purchase and ancillary charges)
 + Beginning Inventory of merchandise
 - Ending Inventory of merchandise
= Cost of Sales (Cost of Goods Sold)

This method can provide more relevant information to users than the classification of expenses by nature but **allocating costs to functions may require arbitrary allocations and involve considerable judgment.**

This is the most common format in US

The Gross Profit measures the efficiency of manufacturing / purchasing activities:

$$\text{Gross Profit Margin} = \frac{\text{Gross Profit}}{\text{Net Revenues}}$$

Remember:

- **Cost of Goods Sold = Unit Product Costs x Sold Units (COGS is measured by the cost accounting system)**
- **R&D Costs are not included in the product cost of the year: they are usually reported below the gross profit separately from Selling Costs and General and Administrative Costs (see the following example of Akzo Nobel)**



AkzoNobel

in € millions, for the year ended December 31

Note

2024

2025

Continuing operations

Revenue	<u>4</u>	10,711	10,158
Cost of sales	<u>5</u>	(6,374)	(6,109)
Gross profit		4,337	4,049
Selling and distribution expenses	<u>5</u>	(2,463)	(2,352)
General and administrative expenses	<u>5</u>	(655)	(649)
Research and development expenses	<u>5</u>	(296)	(274)
Other results	<u>5</u>	(6)	390
		(3,420)	(2,885)
Operating income		917	1,164

Costs by nature 2025

in € millions	Employee benefits	Amortization	Depreciation	Purchases and other costs	Result on disposal of business (India)	Total
Cost of sales	(637)	(1)	(169)	(5,302)	—	(6,109)
Selling and distribution expenses	(1,004)	(50)	(98)	(1,200)	—	(2,352)
General and administrative expenses	(282)	(22)	(17)	(328)	—	(649)
Research and development expenses	(190)	(5)	(16)	(63)	—	(274)
Other results*	—	—	—	(265)	655	390
Total	(2,113)	(78)	(300)	(7,158)	655	(8,994)

*Purchases and other costs in Other results contain a €272 million charge related to the provision made for Project Iohthys. The result on disposal of business (India) has been included to allow reconciliation of total costs with consolidated statement of income.



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Income Statement reformulated with the separation of External and Internal Costs

+ Value of Production

- Cost for purchases of materials /
services from external parties

= Added Value

- Cost of Personnel

= Earnings before Interest, Taxes, Depreciation and Amortization (EBITDA)

- Depreciation and Amortization

= Core Operating Income (from sales of products/services)

	A	B
Value of Production	100	100
Added Value	70	40
Operating Income	10	10

In this format **costs are divided** in:

- Consumption of **external resources**, i.e. materials and services purchased from third parties (suppliers);
- Consumption of **internal resources**, i.e. the cost of personnel and the cost for the utilization of tangible and intangible assets (depreciation and amortization).

Objective: to analyze which is the value of production that remains after the company has remunerated the external resources (purchases from suppliers), i.e. the **Added Value** and its ability to remunerate the internal resources (personal and long-term operating assets).

The **Value of Production** measures the total value of the production that was obtained during the year, divided in:

1. Production of goods sold to customers, i.e. net sales revenues;
2. Production of goods that are in the inventory at the end of the year, i.e. the change in inventory of goods that have undergone manufacturing processes (inventory of finished goods and work in progress)
3. Production for the internal construction (in progress) of tangible and intangible assets, i.e. capitalized costs for internal constructions.

This format allows to analyze the **degree of internalization/externalization of the costs structure**.



Income Statement reformulated with the separation of External and Internal Costs	
+ Value of Production	
- Cost for purchases of materials / services from external parties	
= Added Value	
- Cost of Personnel	
= Earnings before Interest, Taxes, Depreciation and Amortization (EBITDA)	
- Depreciation and Amortization	
= Core Operating Income (from sales of products/services)	

Added Value is significant in industry analysis to emphasize tensions in the supply and demand relationship.

External Costs: variable/fixed, recurring/discretionary...

➔ In interpreting the **Added Value** it is necessary to carefully look at the **percentage composition of external costs**

EBITDA can be interpreted in two ways:

1. it is **Added Value net of the Cost of Personnel** ➔ it shows the effects of relevant changes in labour cost structure (contract renewals, increase/reduction in the number of staff employed, delocalization of manpower); EBITDA, for the same amount of Added Value, shows the **efficiency in staff utilization**; consider the ratio **EBITDA/Added Value**
2. It is the **Operating Income before Depreciation and Amortization** ➔ since depreciation/amortization do not imply any outflow of cash, EBITDA equals to the difference between those “monetary” operating revenues and costs that sooner or later will affect the cash account ➔ **EBITDA approximates the Operating Cash Flow** (theoretically, if all revenues are collected and all expenses are paid, EBITDA equals the Operating Cash Flow). Some analysts calculate the ratio **EBITDA/Net Revenues** (“EBITDA Margin”)



Income Statement reformulated
with the separation of External and
Internal Costs

+ Value of Production

- Cost for purchases of materials /
services from external parties

= Added Value

- Cost of Personnel

= EBITDA

- Depreciation and Amortization

= Core Operating Income

Provision expenses:

1. We can classify the provisions into the “**external costs**” because they are an estimate of foreseeable expenses and outflows of cash to settle the related obligation;
2. Alternatively, we can classify provisions **together with depreciation and amortization** because they do not represent potential cash outflows in the short-term future (“cash flow view” of EBITDA); but this may be true only for long-term provisions.....
3. Some provision expense can be classified as **unusual** items (ex. litigation)

Impairment losses (and reversals):

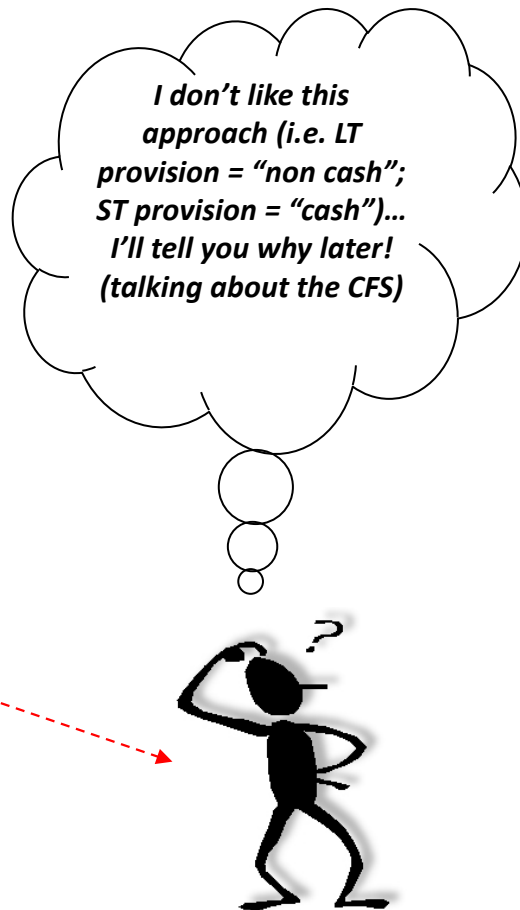
1. Impairments (and reversals) can be classified **together with “depreciation/amortization”** because they represent losses in long-term assets utilization AND are they are “non-monetary” items;
2. Alternatively, we could classify them as **unusual** items



+ Value of Production
- Cost for purchases of materials / services from external parties
= Added Value
- Cost of Personnel
= EBITDA
- Depreciation and Amortization, (LT) provisions and impairment
= Core Operating Income (from sales of products/services)

With these reformulation choices we stress the *“cash flow view”* of the EBITDA:

EBITDA is the Operating Income before non monetary costs, whatever they are....



+ Value of Production
- Cost for purchases of materials / services from external parties
= Added Value
- Cost of Personnel
= EBITDAR
- Depreciation and Amortization, impairment and Rent expenses
= Core Operating Income (from sales of products/services)

With these reformulation choices we stress the view of the EBITDA as *“before the cost of Tangibles and Intangibles”*, whether they are monetary or not:

EBITDAR is the Operating Income before the cost of using long-term operating assets, whether we own them or we rent them....

Adjusted Debt to Earnings Before Interest, Taxes, Depreciation, Amortization and Rent ("EBITDAR"). We present adjusted debt to EBITDAR ("gross leverage") because management believes this metric is helpful to investors in assessing the company's overall debt profile. Adjusted debt includes total operating lease liabilities (including fleet, ground and other), sale-leaseback financing liabilities and unfunded pension liabilities. We calculate EBITDAR by adding depreciation and amortization to operating income, adjusted and adjusting for the fixed portion of operating lease expense.

Restructuring charges. During 2020, we recorded restructuring charges for items such as fleet impairments and voluntary early retirement and separation programs following strategic business decisions in response to the COVID-19 pandemic. During 2022, we recognized adjustments to certain of those restructuring charges, representing changes in our estimates.

(in millions)	December 31, 2025	December 31, 2022
Debt and finance lease obligations	\$ 14,113	\$ 23,030
Plus: operating lease liabilities	6,162	7,580
Plus: sale-leaseback financing liabilities	1,779	2,180
Plus: unamortized discount/(premium) and debt issue cost, net and other	(6)	138
Plus: unfunded pension liabilities	—	89
Adjusted debt	\$ 22,047	\$ 33,018

(in millions)	Year Ended		% Change
	December 31, 2025	December 31, 2022	
GAAP operating income	\$ 5,822	\$ 3,661	
Adjusted for:			
MTM adjustments and settlements on hedges	(17)	29	
Restructuring charges	—	(124)	
Operating income, adjusted	5,804	3,566	
Adjusted for:			
Depreciation and amortization	2,443	2,107	
Fixed portion of operating lease expense	979	949	
EBITDAR	\$ 9,226	\$ 6,622	
Adjusted Debt to EBITDAR	2.4x	5.0x	(52)%



Vodafone Group Plc

Annual Report 2025

Adjusted EBITDAaL

It is a key external metric used by the investor community to assess performance of our operations. It is our segment performance measure in accordance with IFRS 8 (Operating Segments).

Adjusted EBITDAaL is operating profit after depreciation on lease-related right of use assets and interest on lease liabilities but excluding depreciation, amortisation and gains/losses on disposal of owned assets and excluding share of results of equity accounted associates and joint ventures, impairment losses/reversals, restructuring costs arising from discrete restructuring plans, other income and expense and significant items that are not considered by management to be reflective of the underlying performance of the Group.

Group financial performance

	FY25 ¹ €m	FY24 €m	Reported change %
Revenue	37,448	36,717	2.0
– Service revenue	30,758	29,912	2.8
– Other revenue	6,690	6,805	
Adjusted EBITDAaL^{2,3}	10,932	11,019	(0.8)
Restructuring costs	(164)	(703)	
Interest on lease liabilities ⁴	488	440	
Loss on disposal of property, plant and equipment and intangible assets	(25)	(34)	
Depreciation and amortisation of owned assets	(7,569)	(7,397)	
Share of results of equity accounted associates and joint ventures	(123)	(96)	
Impairment (charge)/reversal	(4,515)	64	
Other income	565	372	
Operating (loss)/profit	(411)	3,665	(111.2)
Investment income	864	581	
Financing costs	(1,931)	(2,626)	
(Loss)/profit before taxation	(1,478)	1,620	
Income tax expense	(2,246)	(50)	
(Loss)/profit for the financial year – Continuing operations	(3,724)	1,570	
Loss for the financial year – Discontinued operations	(22)	(65)	
(Loss)/profit/(loss) for the financial year	(3,746)	1,505	
Attributable to:			
– Owners of the parent	(4,169)	1,140	
– Non-controlling interests	423	365	
(Loss)/profit for the financial year	(3,746)	1,505	
Basic (loss)/earnings per share – Continuing operations	(15.86)c	4.45c	
Basic (loss)/earnings per share – Total Group	(15.94)c	4.21c	
Adjusted basic earnings per share ²	7.87c	7.47c	

Notes:

1. The FY25 results reflect average foreign exchange rates of €1:€0.84, €1:INR 90.79, €1:ZAR 19.58, €1:TRY 36.71 and €1:EGP 52.56.
2. Adjusted EBITDAaL and Adjusted basic earnings per share are non-GAAP measures. See page 213 for more information.
3. Includes depreciation on leased assets of €3,205 million (FY24: €3,003 million).
4. Reversal of interest on lease liabilities included within Adjusted EBITDAaL under the Group's definition of that metric, for re-presentation in financing costs.



Income Statement reformulated with the separation of variable and fixed costs

+ Net Revenues

- Variable Costs (selling and manufacturing variable costs)

= Contribution Margin

- Manufacturing Fixed Costs

- Selling Fixed Costs

- General/Administrative Fixed Costs

= Core Operating Income (from sales of products/services)

	A	B
Net Revenues	100	100
Variable Costs	-60	-30
Contr. Margin	= 40	= 70
Fixed Costs	-30	-60
Oper. Income	= 10	= 10

This format separates operating costs according to their **degree of variability with regard to the production (and sales) volume**.

Costs are divided in:

- **Variable costs** = costs that vary in total, directly and proportionately, with changes in production (also called activity level); we usually expect a change in variable costs from one unit change in sales/production output; examples: raw materials consumption, electric power, sales representatives' commissions, royalties expenses, transportation costs for receiving raw materials and shipping finished goods, (sometimes) labour costs etc.;
- **Fixed Costs** = costs that are substantially independent (at least in the short-term) from the sales/production volume; a one-unit change in sales/production output does not affect the amount of fixed costs; examples: cost of personnel, depreciation and amortization, directors' and auditors' fees, indirect taxes, consulting expenses, advertising expenses, R&D expenses etc.

Whit this format we can analyze the degree of elasticity / rigidity of the costs structure, by examining the composition of variable/fixed costs.



Income Statement reformulated with the separation of variable and fixed costs

+ Net Revenues

- Variable Costs (selling and manufacturing variable costs)

= Contribution Margin

- Manufacturing Fixed Costs

- Selling Fixed Costs

- General/Administrative Fixed Costs

= Core Operating Income (from sales of products/services)

Remember! For a breakeven analysis there are two formulas:

- **Breakeven Sales Quantities** = Fixed Costs / (Unit Contribution Margin)
- **Breakeven Sales (€)** = Fixed Costs / Weighted Avg. Contribution Margin %

The Cost Structure of a company can be analyzed as a multiplier of its Operating Income (leverage effect). This Leverage effect can be calculated as :

$$\text{Degree of Operating Leverage (DOL)} = \frac{\text{Contribution Margin (CM)}}{\text{Operating Income (OI)}}$$

DOL is an elasticity measure because:

$$\frac{\text{CM}}{\text{OI}} = \frac{\Delta \text{OI} / \text{OI}_{t-1}}{\Delta \text{NR} / \text{NR}_{t-1}}$$

so, DOL measures the elasticity of Operating Income following a % change in Net Revenues; therefore, it is possible to apply this formula:

$$\Delta\% \text{OI} = \Delta\% \text{Net Revenues} \times \text{DOL}$$

Example: if DOL is 4, and we assume an increase in Net Revenues by 10%, Operating Income will increase by 40% (4 x 10%).

Another ratio is complementary to DOL; it is:

$$\text{Margin of Safety (MOS)} = \text{OI} / \text{CM}$$

and measures, all things being equal, which is the % decrease in Net Revenues that leads the Operating Income to the break-even point (Operating Income = 0).



Did you understand the logic?



A possible or impossible analysis in a professional context?



- Variable/Fixed Costs are identified according to their **sensitivity to changes in Sold Quantities (Volume)**
- Ok....you already know that Fixed Costs are not permanently fixed: they will change over time and that there are no fixed costs in the long run....
- So, Degree of Operating Leverage and Margin of Safety are therefore two ratios based on a **“cost-volume-profit” analysis**
- But:
 - Can we have more than one “volume” measurement unit?
 - And what about changes in unit prices?



Volume Drivers: no. Of flights and load factor

Price Drivers: jet fuel unit price (high degree of volatility)

Volume drivers: no. of performed flights

Price drivers: the individual charge (r) is equal to the product of the distance factor (d), the weight factor (p) and the unit rate (t); unit rate is unit price defined by each Contracting States on an annual basis

Volume drivers: no. of passengers

Price drivers: contractual agreement with Airport Management Companies

Operating revenues

	Pre Exceptional Results Mar 31, 2010 €M	Exceptional Items Mar 31, 2010 €M	IFRS Year Ended Mar 31, 2010 €M	Pre Exceptional Results Mar 31, 2009 €M	Exceptional Items Mar 31, 2009 €M	IFRS Year Ended Mar 31, 2009 €M
Scheduled revenues	2,324.5	-	2,324.5	2,343.9	-	2,343.9
Ancillary revenues	663.6	-	663.6	598.1	-	598.1
Total operating revenues						
-continuing operations	2,988.1	-	2,988.1	2,942.0	-	2,942.0
Operating expenses						
Staff costs	335.0	-	335.0	309.3	-	309.3
Depreciation.....	235.4	-	235.4	204.5	51.6	256.1
Fuel and oil	893.9	-	893.9	1,257.1	-	1,257.1
Maintenance, materials and repairs.....	86.0	-	86.0	66.8	-	66.8
Aircraft rentals	95.5	-	95.5	78.2	-	78.2
Route charges	336.3	-	336.3	286.6	-	286.6
Airport and handling charges.....	459.1	-	459.1	443.4	-	443.4
Marketing, distribution & other	144.8	-	144.8	151.9	-	151.9
Total operating expenses	2,586.0	-	2,586.0	2,797.8	51.6	2,849.4
Operating profit – continuing operations	402.1	-	402.1	144.2	(51.6)	92.6

	31/03/2010		31/03/2009	
Total revenues	2.988,1	100,0%	2.942,0	100,0%
Fuel and oil	-893,9	-29,9%	-1.257,1	-42,7%
Route charges	-336,3	-11,3%	-286,6	-9,7%
Airport and handling charges	-459,1	-15,4%	-443,4	-15,1%
Contribution Margin	1.298,8	43,5%	954,9	32,5%
Operating profit	402,1	13,5%	144,2	4,9%
Operating leverage	3,2		6,6	
Margin of Safety	30,9%		15,1%	

Excluding the cost of Fuel and oil we get a better metric:

	31/03/2010		31/03/2009	
Total revenues	2.988,1	100,0%	2.942,0	100,0%
Route charges	-336,3	-11,3%	-286,6	-9,7%
Airport and handling charges	-459,1	-15,4%	-443,4	-15,1%
Contribution Margin Ex-Fuel	2.192,7	73,4%	2.212,0	75,2%

- **Gross Profit / Net Revenues (Gross Profit margin)**
- **Added Value / Value of Production**
- **EBITDA / Value of Production**
- **EBITDA / Added Value**
- **EBITDA / Net Revenues (EBITDA margin)**
- **EBITDAR / Net Revenues (EBITDAR margin)**
- **EBITDAaL / Net Revenues (EBITDAaL margin)**
- **Operating Income / Net Revenues (Return on Sales)**
- **EBIT (or EBITDA) / Interest Expenses (Times interest earned)**
- **EBIT (or EBITDA) + Specific expense / (Specific expense + Interest expense)**
- **Contribution Margin/ Operating Income (Degree of operating leverage)**
- **Operating Income / Contribution Margin (Margin of safety)**
- **Net Income / Earning Before Taxes (Tax effect ratio)**
- **Income taxes / Earnings Before Taxes (Tax rate ratio)**



- **EBITA (Earnings Before Interest, Taxes and Amortization):** EBITA deducts depreciation, whereas EBITDA excludes it.
- **EBITDA is often used as a proxy for operating cash-generating capacity before capital expenditures, but it can overstate the sustainable economic performance of businesses that require substantial ongoing investment in property, plant and equipment.**
- **EBITA partially addresses this issue** by recognizing depreciation as an operating cost while continuing to exclude amortization, which frequently relates to acquired intangible assets and purchase-price accounting.
- **EBITA can be particularly useful when depreciation represents a meaningful recurring economic cost, while amortization is largely acquisition-related and less informative about current operating performance.** It can therefore provide a useful middle ground between EBITDA and EBIT.
- The greater the economic significance of maintaining and replacing depreciable assets, the stronger the argument for looking at EBITA rather than relying exclusively on EBITDA.
- EBITA is commonly encountered in acquisition-intensive industries and businesses with significant acquired intangible assets. EBITA is also frequently used in M&A, private equity and valuation analysis when analysts want to remove acquisition-related amortization without also removing depreciation.



RECLASSIFIED INCOME STATEMENT

€ millions	Notes	2025	2024	Change	Change %
Revenues		19,503	17,763	1,740	9.8%
Purchases and personnel expenses	1	(17,183)	(15,767)		
Other net operating income/(expenses)	2	(47)	59		
Equity-accounted strategic investments	3	156	164		
Amortisation, depreciation and write-offs	4	(677)	(694)		
EBITA		1,752	1,525	227	14.9%
ROS		9.0%	8.6%	0.4 p.p.	
Non-recurring income/(expenses)	} Unusual items	(202)	(147)		
Restructuring costs		(31)	(35)		
<u>Amortisation of intangible assets</u> acquired as part of business combinations		(72)	(72)		
EBIT		1,447	1,271	176	13.8%
EBIT margin		7.4%	7.2%	0.2 p.p.	
Net financial income/(expenses)	5	(137)	(196)		
Income taxes		(315)	(289)		
Net result related to discontinued operations and extraordinary transactions	6	339	373		
Net result		1,334	1,159	175	15.1%



- **Common-size analysis** allows to analyze the relevance of every cost item.
- Common size percentages can be referenced to several base amounts:
 - a) Net Sales Revenues
 - b) Value of Production (net revenues + change in inventory of finished products and work in progress + internal construction of tangible and intangible assets)
 - c) Total Cost of Sales
 - d) Total Manufacturing Cost
- Bases a) and b) are also influenced by changes in the amount of sold quantities and unit selling prices;
- Base c) is also influenced by changes in the value of inventory ($\text{COGS} = \text{total manufacturing costs} \pm \text{change in inventory}$).
- Base d) only measures the total manufacturing effort with regard to the total incurred costs.

Therefore, **the choice of the “base” for the common size analysis gives a different evidence to changes in KPIs and drivers for selling and manufacturing costs.**



The **Moral of the Story** is:

1. Always consider the influence that a specific “base” has on percentages: ex. Net revenues, Value of Production, Manufacturing Costs)
2. Analyze what happened to your “base” amount (increase/decrease and drivers): what happened to Net Revenues? (sold quantity, unit price, mix of sales)
3. Search for infos about KPIs and their drivers for all the Gross Profit items (raw materials, personnel cost etc.)
4. Choose a “base” than better highlights the most relevant changes (from points 2 and 3)

To get the best out of your job....**you must know the sensitivity of numbers to changes in prices, volumes, mix etc. (TO BE SENSITIVE TO NUMBERS)**

The same logic applies to the Common Size analysis of the Balance Sheet (base = Total Assets)!

Ex. What happens to the percentages of assets and liabilities accounts if there is only one change: increase of stock capital with the money from shareholders used to purchase an equity investment?

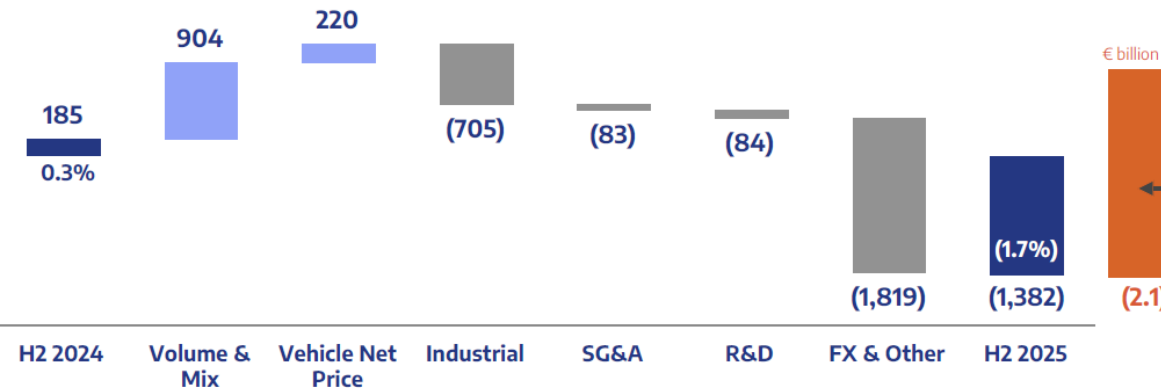


FINANCIAL REVIEW: GROUP AOI WALK - H2 2025



H2 2025 ADJUSTED OPERATING INCOME*

€ million unless otherwise stated
% = AOI Margin*



- **Volume & Mix** up €0.9B, improvement driven primarily by NA-led shipment growth
- **Vehicle Net Price** up €0.2B, primarily driven by positive pricing actions in NA and MEA, partially offset by EE
- **Industrial** costs increase of €0.7B reflect the impact of (€1.7)B specific items across warranty, compliance, supply chain and recall categories, partially offset by benefits of increased volumes, and efficiencies in purchasing
- **FX & Other** impacts from FX of (~€0.9)B primarily related to Turkish Lira, as well as from specific items of approximately (€0.4)B

(0.5)	Portion of warranty adjustment related to H1 '25 shipments
(0.5)	LCV CO ₂ compliance in Europe, representing entire FY '25
(0.5)	Supplier bankruptcy and impact of aluminum supply disruption
(0.4)	PHEV recall costs and related residual value impact to financial services
(0.2)	Provision for industry-wide motor finance redress program in UK

* Refer to Appendix for definitions of supplemental financial measures and reconciliations to applicable IFRS metrics
Figures may not add due to rounding

Adjusted Operating Income/(Loss) excludes from Net profit/(loss) from continuing operations adjustments comprising restructuring and other termination costs, impairments, asset write-offs, disposals of investments and unusual operating income/(expense) that are considered rare or discrete events and are infrequent in nature, as inclusion of such items is not considered to be indicative of the Company's ongoing operating performance, and also excludes Net financial expenses/(income) and Tax expense/(benefit). Unusual operating income/(expense) are impacts from strategic decisions, as well as events considered rare or discrete and infrequent in nature, as inclusion of such items is not considered to be indicative of the Company's ongoing operating performance. Unusual operating income/(expense) includes, but may not be limited to: impacts from strategic decisions to rationalize Stellantis' core operations; facility-related costs stemming from Stellantis' plans to match production capacity and cost structure to market demand, and convergence and integration costs directly related to significant acquisitions or mergers.



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APPENDIX

COMMON-SIZE ANALYSIS OF COGS: CRITICAL ISSUES A CASE STUDY



—See also the Excel file: [20221_Sess04_TM_Common_Size_COGS.xls](#)

—Let’s assume the following “base” scenario for a manufacturing company:

Finished Products Beginning Inventory	0	qty
Production Quantity	1.000	qty
Sold Quantity	800	qty
Finished Products Ending Inventory	200	qty
Unit Selling Price	40,00	€
Totale Sales Revenues	32.000,00	€
Unit Cost of Raw Materials	12,00	€
Unit Cost of Direct Labour	6,00	€
Other Unit Manufacturing Direct Costs	2,00	€
Total Manufacturing Direct Unit Cost	20,00	€
Raw Materials Qty / 1 Finished Good	1	qty
Raw Materials Beginning Inventory - Qty	0	qty
Raw Materials Consumption Quantity	1000	qty
Raw Materials Ending Inventory - Qty	150	qty
Raw Materials Purchased Quantity	1.150	qty
Manufacturing Indirect Costs	5.000,0	€
Average Production Volume	1.000	qty
Manufact. Indirect Unit Costs	5,00	€
Total Manufacturing Direct Unit Cost	20,00	€
Manufacturing Indirect Unit Costs	5,00	€
Manufacturing Unit Total Cost	25,00	€

Costed Bill of Materials / % on Unit Manufacturing Costs:		
Unit Cost of Raw Materials	12,00	48,0%
Unit Cost of Direct Labour	6,00	24,0%
Other Unit Manufacturing Direct Costs	2,00	8,0%
Total Manufacturing Direct Unit Cost	20,00	80,0%
Manufacturing Indirect Unit Costs	5,00	20,0%
Manufacturing Unit Total Cost	25,00	100,0%

Costed Bill of Materials / % on Selling Unit Price:		
Unit Cost of Raw Materials	12,00	30,0%
Unit Cost of Direct Labour	6,00	15,0%
Other Unit Manufacturing Direct Costs	2,00	5,0%
Total Manufacturing Direct Unit Cost	20,00	50,0%
Manufacturing Indirect Unit Costs	5,00	12,5%
Manufacturing Unit Total Cost	25,00	62,5%
Unit Selling Price	40,00	100,0%

Net Revenues		
Net Revenues	32.000	100,0%
Raw Materials Beg. Inventory	0	0,0%
Purchases of Raw Materials	-13.800	-43,1%
Raw Materials End. Inventory	1.800	5,6%
Raw Materials Consumption	-12.000	-37,5%
Costo of Direct Labour	-6.000	-18,8%
Other Direct Costs	-2.000	-6,3%
Manufacturing Indirect Costs	-5.000	-15,6%
Finished Products Beg. Inventory	0	0,0%
Finished Products End. Inventory	5.000	15,6%
Cost of Goods Sold	-20.000	-62,5%
Gross Profit	12.000	37,5%



**Reformulated Income Statement by Function -
Common Size Basis = Net Revenues**

Net Revenues	32.000	100,0%
Raw Materials Beg. Inventory	0	0,0%
Purchases of Raw Materials	-13.800	-43,1%
Raw Materials End. Inventory	1.800	5,6%
Raw Materials Consumption	-12.000	-37,5%
Cost of Direct Labour	-6.000	-18,8%
Other Direct Costs	-2.000	-6,3%
Manufacturing Indirect Costs	-5.000	-15,6%
Finished Products Beg. Inventory	0	0,0%
Finished Products End. Inventory	5.000	15,6%
Cost of Goods Sold	-20.000	-62,5%
Gross Profit	12.000	37,5%

**Reformulated Income Statement by Function
Common Size Basis = Value or Production vs. Total manufacturing Costs**

Common Size Basis = Value of Production			Common Size Basis = Total Manufacturing Costs		
Net Revenues	32.000	86,5%	Net Revenues	32.000	
Finished Products Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	
Finished Products End. Inventory	5.000	13,5%	Finished Products End. Inventory	5.000	
Value of Production	37.000	100,0%	Value of Production	37.000	
Raw Materials Beg. Inventory	0	0,0%	Raw Materials Beg. Inventory	0	0,0%
Purchases of Raw Materials	-13.800	-37,3%	Purchases of Raw Materials	-13.800	55,2%
Raw Materials End. Inventory	1.800	4,9%	Raw Materials End. Inventory	1.800	-7,2%
Raw Materials Consumption	-12.000	-32,4%	Raw Materials Consumption	-12.000	48,0%
Costo of Direct Labour	-6.000	-16,2%	Costo of Direct Labour	-6.000	24,0%
Other Direct Costs	-2.000	-5,4%	Other Direct Costs	-2.000	8,0%
Manufacturing Indirect Costs	-5.000	-13,5%	Manufacturing Indirect Costs	-5.000	20,0%
Total Manufacturing Costs	-25.000	-67,6%	Total Manufacturing Costs	-25.000	100,0%
Gross Profit	12.000	32,4%	Gross Profit	12.000	



See also the Excel file: *20221 - sess03 Common Size COGS.xls*

Let's see an example of what happens to the common size income statement when there is a:

1. Case 1 - change in the allocation of indirect manufacturing costs: assuming that the normal 'Average Production Volume' is 2.000 (instead of 1.000) →

- ❑ Finished Goods Inventory" is now: $\text{€ } 20 \times 200 \text{ pcs} + \text{€ } 5,000 / 2,000 \text{ pcs} \times 200 \text{ pcs} = \text{€ } 4,500$ (it was € 5,000)

2. Case 2 - change in quantity of sold units: assuming sold qty is 700 (instead of 800) and finished goods inventory is 300 (instead of 200) →

- ❑ Sales Revenues are now: $700 \text{ pcs} \times \text{€ } 40 = \text{€ } 28,000$ (€ 32,000)
- ❑ Finished Goods Inventory is now: $300 \text{ pcs} \times \text{€ } 25 = \text{€ } 7,500$ (€ 5,000)

3. Case 3 - change in unit selling price: assuming a unit selling price of € 42 (instead of € 40):

- ❑ Sales Revenues are now: $\text{€ } 42 \times 800 \text{ pcs} = \text{€ } 33,600$ (€ 32,000)

4. Case 4 - change in unit purchase cost of raw materials: assuming a unit cost of € 14 (instead of € 12):

- ❑ Purchase of Raw Materials are now: $\text{€ } 14 \times 1,150 \text{ pcs} = \text{€ } 16,100$ (€ 13,800)
- ❑ Raw Materials Inventory is now: $\text{€ } 1,800 + (\text{€ } 14 - \text{€ } 12) \times 150 \text{ pcs} = \text{€ } 2,100$ (€ 1,800)
- ❑ Finished Goods Inventory is now: $\text{€ } 5,000 + (\text{€ } 14 - \text{€ } 12) \times 200 \text{ pcs} = \text{€ } 5,400$ (€ 5,000)

Let's analyze, for the 4 scenarios (separately considered), what happens to the 3 Common Size Income Statements (red rectangles = changes of percentages)



Reformulated Income Statement by Function - Common Size Basis = Net Revenues			Reformulated Income Statement by Function - Common Size Basis = Value or Production vs. Total manufacturing Costs					
			Common Size Basis = Value of Production			Common Size Basis = Total Manufacturing Costs		
Scenario A								
Net Revenues	32.000	100,0%	Net Revenues	32.000	86,5%	Net Revenues	32.000	
Raw Materials Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	
Purchases of Raw Materials	-13.800	-43,1%	Finished Products End. Inventory	5.000	13,5%	Finished Products End. Inventory	5.000	
Raw Materials End. Inventory	1.800	5,6%	Value of Production	37.000	100,0%	Value of Production	37.000	
Raw Materials Consumption	-12.000	-37,5%	Raw Materials Beg. Inventory	0	0,0%	Raw Materials Beg. Inventory	0	0,0%
Costo of Direct Labour	-6.000	-18,8%	Purchases of Raw Materials	-13.800	-37,3%	Purchases of Raw Materials	-13.800	55,2%
Other Direct Costs	-2.000	-6,3%	Raw Materials End. Inventory	1.800	4,9%	Raw Materials End. Inventory	1.800	-7,2%
Manufacturing Indirect Costs	-5.000	-15,6%	Raw Materials Consumption	-12.000	-32,4%	Raw Materials Consumption	-12.000	48,0%
Finished Products Beg. Inventory	0	0,0%	Costo of Direct Labour	-6.000	-16,2%	Costo of Direct Labour	-6.000	24,0%
Finished Products End. Inventory	5.000	15,6%	Other Direct Costs	-2.000	-5,4%	Other Direct Costs	-2.000	8,0%
Cost of Goods Sold	-20.000	-62,5%	Manufacturing Indirect Costs	-5.000	-13,5%	Manufacturing Indirect Costs	-5.000	20,0%
Gross Profit	12.000	37,5%	Total Manufacturing Costs	-25.000	-67,6%	Total Manufacturing Costs	-25.000	100,0%
			Gross Profit	12.000	32,4%	Gross Profit	12.000	
Scenario B								
Net Revenues	32.000	100,0%	Net Revenues	32.000	87,7%	Net Revenues	32.000	
Raw Materials Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	
Purchases of Raw Materials	-13.800	-43,1%	Finished Products End. Inventory	4.500	12,3%	Finished Products End. Inventory	4.500	
Raw Materials End. Inventory	1.800	5,6%	Value of Production	36.500	100,0%	Value of Production	36.500	
Raw Materials Consumption	-12.000	-37,5%	Raw Materials Beg. Inventory	0	0,0%	Raw Materials Beg. Inventory	0	0,0%
Costo of Direct Labour	-6.000	-18,8%	Purchases of Raw Materials	-13.800	-37,8%	Purchases of Raw Materials	-13.800	55,2%
Other Direct Costs	-2.000	-6,3%	Raw Materials End. Inventory	1.800	4,9%	Raw Materials End. Inventory	1.800	-7,2%
Manufacturing Indirect Costs	-5.000	-15,6%	Raw Materials Consumption	-12.000	-32,9%	Raw Materials Consumption	-12.000	48,0%
Finished Products Beg. Inventory	0	0,0%	Costo of Direct Labour	-6.000	-16,4%	Costo of Direct Labour	-6.000	24,0%
Finished Products End. Inventory	4.500	14,1%	Other Direct Costs	-2.000	-5,5%	Other Direct Costs	-2.000	8,0%
Cost of Goods Sold	-20.500	-64,1%	Manufacturing Indirect Costs	-5.000	-13,7%	Manufacturing Indirect Costs	-5.000	20,0%
Gross Profit	11.500	35,9%	Total Manufacturing Costs	-25.000	-68,5%	Total Manufacturing Costs	-25.000	100,0%
			Gross Profit	11.500	31,5%	Gross Profit	11.500	

Case 1 - change in the allocation of indirect manufacturing costs: assuming that the normal 'Average Production Volume' is 2.000 (instead of 1.000) →

❑ **Finished Goods Inventory" is now: € 20 x 200 pcs + € 5,000 / 2,000 pcs x 200 pcs = € 4,500 (it was € 5,000)**



Reformulated Income Statement by Function - Common Size Basis = Net Revenues			Reformulated Income Statement by Function - Common Size Basis = Value or Production vs. Total manufacturing Costs					
			Common Size Basis = Value of Production			Common Size Basis = Total Manufacturing Costs		
Scenario A								
Net Revenues	32.000	100,0%	Net Revenues	32.000	86,5%	Net Revenues	32.000	
Raw Materials Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	
Purchases of Raw Materials	-13.800	-43,1%	Finished Products End. Inventory	5.000	13,5%	Finished Products End. Inventory	5.000	
Raw Materials End. Inventory	1.800	5,6%	Value of Production	37.000	100,0%	Value of Production	37.000	
Raw Materials Consumption	-12.000	-37,5%	Raw Materials Beg. Inventory	0	0,0%	Raw Materials Beg. Inventory	0	0,0%
Costo of Direct Labour	-6.000	-18,8%	Purchases of Raw Materials	-13.800	-37,3%	Purchases of Raw Materials	-13.800	55,2%
Other Direct Costs	-2.000	-6,3%	Raw Materials End. Inventory	1.800	4,9%	Raw Materials End. Inventory	1.800	-7,2%
Manufacturing Indirect Costs	-5.000	-15,6%	Raw Materials Consumption	-12.000	-32,4%	Raw Materials Consumption	-12.000	48,0%
Finished Products Beg. Inventory	0	0,0%	Costo of Direct Labour	-6.000	-16,2%	Costo of Direct Labour	-6.000	24,0%
Finished Products End. Inventory	5.000	15,6%	Other Direct Costs	-2.000	-5,4%	Other Direct Costs	-2.000	8,0%
Cost of Goods Sold	-20.000	-62,5%	Manufacturing Indirect Costs	-5.000	-13,5%	Manufacturing Indirect Costs	-5.000	20,0%
Gross Profit	12.000	37,5%	Total Manufacturing Costs	-25.000	-67,6%	Total Manufacturing Costs	-25.000	100,0%
			Gross Profit	12.000	32,4%	Gross Profit	12.000	
Scenario B								
Net Revenues	28.000	100,0%	Net Revenues	28.000	78,9%	Net Revenues	28.000	
Raw Materials Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	
Purchases of Raw Materials	-13.800	-49,3%	Finished Products End. Inventory	7.500	21,1%	Finished Products End. Inventory	7.500	
Raw Materials End. Inventory	1.800	6,4%	Value of Production	35.500	100,0%	Value of Production	35.500	
Raw Materials Consumption	-12.000	-42,9%	Raw Materials Beg. Inventory	0	0,0%	Raw Materials Beg. Inventory	0	0,0%
Costo of Direct Labour	-6.000	-21,4%	Purchases of Raw Materials	-13.800	-38,9%	Purchases of Raw Materials	-13.800	55,2%
Other Direct Costs	-2.000	-7,1%	Raw Materials End. Inventory	1.800	5,1%	Raw Materials End. Inventory	1.800	-7,2%
Manufacturing Indirect Costs	-5.000	-17,9%	Raw Materials Consumption	-12.000	-33,8%	Raw Materials Consumption	-12.000	48,0%
Finished Products Beg. Inventory	0	0,0%	Costo of Direct Labour	-6.000	-16,9%	Costo of Direct Labour	-6.000	24,0%
Finished Products End. Inventory	7.500	26,8%	Other Direct Costs	-2.000	-5,6%	Other Direct Costs	-2.000	8,0%
Cost of Goods Sold	-17.500	-62,5%	Manufacturing Indirect Costs	-5.000	-14,1%	Manufacturing Indirect Costs	-5.000	20,0%
Gross Profit	10.500	37,5%	Total Manufacturing Costs	-25.000	-70,4%	Total Manufacturing Costs	-25.000	100,0%
			Gross Profit	10.500	29,6%	Gross Profit	10.500	

Case 2 - change in quantity of sold units: assuming sold qty is 700 (instead of 800) and finished goods inventory is 300 (instead of 200) → Sales Revenues are now: 700 pcs x € 40 = € 28,000 (€ 32,000); Finished Goods Inventory is now: 300 pcs x € 25 = € 7,500 (€ 5,000)



Reformulated Income Statement by Function - Common Size Basis = Net Revenues			Reformulated Income Statement by Function - Common Size Basis = Value or Production vs. Total manufacturing Costs					
			Common Size Basis = Value of Production			Common Size Basis = Total Manufacturing Costs		
Scenario A								
Net Revenues	32.000	100,0%	Net Revenues	32.000	86,5%	Net Revenues	32.000	
Raw Materials Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	
Purchases of Raw Materials	-13.800	-43,1%	Finished Products End. Inventory	5.000	13,5%	Finished Products End. Inventory	5.000	
Raw Materials End. Inventory	1.800	5,6%	Value of Production	37.000	100,0%	Value of Production	37.000	
Raw Materials Consumption	-12.000	-37,5%	Raw Materials Beg. Inventory	0	0,0%	Raw Materials Beg. Inventory	0	0,0%
Costo of Direct Labour	-6.000	-18,8%	Purchases of Raw Materials	-13.800	-37,3%	Purchases of Raw Materials	-13.800	55,2%
Other Direct Costs	-2.000	-6,3%	Raw Materials End. Inventory	1.800	4,9%	Raw Materials End. Inventory	1.800	-7,2%
Manufacturing Indirect Costs	-5.000	-15,6%	Raw Materials Consumption	-12.000	-32,4%	Raw Materials Consumption	-12.000	48,0%
Finished Products Beg. Inventory	0	0,0%	Costo of Direct Labour	-6.000	-16,2%	Costo of Direct Labour	-6.000	24,0%
Finished Products End. Inventory	5.000	15,6%	Other Direct Costs	-2.000	-5,4%	Other Direct Costs	-2.000	8,0%
Cost of Goods Sold	-20.000	-62,5%	Manufacturing Indirect Costs	-5.000	-13,5%	Manufacturing Indirect Costs	-5.000	20,0%
Gross Profit	12.000	37,5%	Total Manufacturing Costs	-25.000	-67,6%	Total Manufacturing Costs	-25.000	100,0%
			Gross Profit	12.000	32,4%	Gross Profit	12.000	
Scenario B								
Net Revenues	33.600	100,0%	Net Revenues	33.600	87,0%	Net Revenues	33.600	
Raw Materials Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	
Purchases of Raw Materials	-13.800	-41,1%	Finished Products End. Inventory	5.000	13,0%	Finished Products End. Inventory	5.000	
Raw Materials End. Inventory	1.800	5,4%	Value of Production	38.600	100,0%	Value of Production	38.600	
Raw Materials Consumption	-12.000	-35,7%	Raw Materials Beg. Inventory	0	0,0%	Raw Materials Beg. Inventory	0	0,0%
Costo of Direct Labour	-6.000	-17,9%	Purchases of Raw Materials	-13.800	-35,8%	Purchases of Raw Materials	-13.800	55,2%
Other Direct Costs	-2.000	-6,0%	Raw Materials End. Inventory	1.800	4,7%	Raw Materials End. Inventory	1.800	-7,2%
Manufacturing Indirect Costs	-5.000	-14,9%	Raw Materials Consumption	-12.000	-31,1%	Raw Materials Consumption	-12.000	48,0%
Finished Products Beg. Inventory	0	0,0%	Costo of Direct Labour	-6.000	-15,5%	Costo of Direct Labour	-6.000	24,0%
Finished Products End. Inventory	5.000	14,9%	Other Direct Costs	-2.000	-5,2%	Other Direct Costs	-2.000	8,0%
Cost of Goods Sold	-20.000	-59,5%	Manufacturing Indirect Costs	-5.000	-13,0%	Manufacturing Indirect Costs	-5.000	20,0%
Gross Profit	13.600	40,5%	Total Manufacturing Costs	-25.000	-64,8%	Total Manufacturing Costs	-25.000	100,0%
			Gross Profit	13.600	35,2%	Gross Profit	13.600	

Case 3 - change in unit selling price: assuming a unit selling price of € 42 (instead of € 40):

❑ Sales Revenues are now: € 42 x 800 pcs = € 33,600 (€ 32,000)



Reformulated Income Statement by Function - Common Size Basis = Net Revenues			Reformulated Income Statement by Function - Common Size Basis = Value or Production vs. Total manufacturing Costs					
			Common Size Basis = Value of Production			Common Size Basis = Total Manufacturing Costs		
Scenario A								
Net Revenues	32.000	100,0%	Net Revenues	32.000	86,5%	Net Revenues	32.000	
Raw Materials Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	
Purchases of Raw Materials	-13.800	-43,1%	Finished Products End. Inventory	5.000	13,5%	Finished Products End. Inventory	5.000	
Raw Materials End. Inventory	1.800	5,6%	Value of Production	37.000	100,0%	Value of Production	37.000	
Raw Materials Consumption	-12.000	-37,5%	Raw Materials Beg. Inventory	0	0,0%	Raw Materials Beg. Inventory	0	0,0%
Costo of Direct Labour	-6.000	-18,8%	Purchases of Raw Materials	-13.800	-37,3%	Purchases of Raw Materials	-13.800	55,2%
Other Direct Costs	-2.000	-6,3%	Raw Materials End. Inventory	1.800	4,9%	Raw Materials End. Inventory	1.800	-7,2%
Manufacturing Indirect Costs	-5.000	-15,6%	Raw Materials Consumption	-12.000	-32,4%	Raw Materials Consumption	-12.000	48,0%
Finished Products Beg. Inventory	0	0,0%	Costo of Direct Labour	-6.000	-16,2%	Costo of Direct Labour	-6.000	24,0%
Finished Products End. Inventory	5.000	15,6%	Other Direct Costs	-2.000	-5,4%	Other Direct Costs	-2.000	8,0%
Cost of Goods Sold	-20.000	-62,5%	Manufacturing Indirect Costs	-5.000	-13,5%	Manufacturing Indirect Costs	-5.000	20,0%
Gross Profit	12.000	37,5%	Total Manufacturing Costs	-25.000	-67,6%	Total Manufacturing Costs	-25.000	100,0%
			Gross Profit	12.000	32,4%	Gross Profit	12.000	
Scenario B								
Net Revenues	32.000	100,0%	Net Revenues	32.000	85,6%	Net Revenues	32.000	
Raw Materials Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	0,0%	Finished Products Beg. Inventory	0	
Purchases of Raw Materials	-16.100	-50,3%	Finished Products End. Inventory	5.400	14,4%	Finished Products End. Inventory	5.400	
Raw Materials End. Inventory	2.100	6,6%	Value of Production	37.400	100,0%	Value of Production	37.400	
Raw Materials Consumption	-14.000	-43,8%	Raw Materials Beg. Inventory	0	0,0%	Raw Materials Beg. Inventory	0	0,0%
Costo of Direct Labour	-6.000	-18,8%	Purchases of Raw Materials	-16.100	-43,0%	Purchases of Raw Materials	-16.100	59,6%
Other Direct Costs	-2.000	-6,3%	Raw Materials End. Inventory	2.100	5,6%	Raw Materials End. Inventory	2.100	-7,8%
Manufacturing Indirect Costs	-5.000	-15,6%	Raw Materials Consumption	-14.000	-37,4%	Raw Materials Consumption	-14.000	51,9%
Finished Products Beg. Inventory	0	0,0%	Costo of Direct Labour	-6.000	-16,0%	Costo of Direct Labour	-6.000	22,2%
Finished Products End. Inventory	5.400	16,9%	Other Direct Costs	-2.000	-5,3%	Other Direct Costs	-2.000	7,4%
Cost of Goods Sold	-21.600	-67,5%	Manufacturing Indirect Costs	-5.000	-13,4%	Manufacturing Indirect Costs	-5.000	18,5%
Gross Profit	10.400	32,5%	Total Manufacturing Costs	-27.000	-72,2%	Total Manufacturing Costs	-27.000	100,0%
			Gross Profit	10.400	27,8%	Gross Profit	10.400	

Case 4 - change in unit purchase cost of raw materials: assuming a unit cost of € 14 (instead of € 12): Purchase of Raw Materials are now: € 14 x 1,150 pcs = € 16,100 (€ 13,800); Raw Materials Inventory is now: € 1,800 + (€ 14 - € 12) x 150 pcs = € 2,100 (€ 1,800); Finished Goods Inventory is now: € 5,000 + (€ 14 - € 12) x 200 pcs = € 5,400 (€ 5,000)

